Business Time Answers

Hints if puzzle chosen for hints: Just give a random explanation from here

- What is Risk in terms of impact and probability on projects and operations? How does this apply to cybersecurity?

In projects (new/one off things a company is trying) and operations (regular company activity), there is always a risk of doing stuff. This risk is usually classified in monetary impact and chance of happening. Cybersecurity is a function that decreases the risk for projects and operations related to the CIA (availability, integrity, and confidentiality) of computer data, including the risk of noncompliance with data handling.

- What is accrual accounting? When is cybersecurity expenses for a period logged?

Accrual accounting is the practice of recognizing expenses and revenue when used or obligation fulfilled (not during actual monetary exchange). So revenue is recognized when service is delivered or, in proper terms, the contract fulfilled (regardless of if paid yet), and expenses are recognized on period of sale if tied to revenue. If just needed for administration usually marked on the period of service provided to us (or with deprecation if long term asset).
Cybersecurity expenses are logged at time of complete service (like a pentest) or at time of use like a firewall.

- What does assets, liabilities, and equity mean? Why is assets = equity + liabilities and what is double bookkeeping? Give an example of a double bookkeeping entry involving a liability and an asset with something in cyber.

Assets (thing own), equity (investor/financer money), liabilities (owed stuff)
Since investors own the company, after subtracting all the liabilities (owed stuff) from assets (things the company owns), the rest is owned by the investors.
Double bookkeeping is a way to keep track of this by making sure every time assets, equity, or liability increase other things on the other side of the equation also increase.

Cyber security team's salaries (100k) are paid in cash: Cash goes down by 100k, Net income goes down by 100k (since administrative expense).

- What is a balance sheet (in terms of previous question)? What is a long term asset and depreciation? Give an example for a purchased cyber investment.

Balance sheet shows all the companies assets, liabilities, and equity. A long term asset is one that lasts over a period and so its cost is allocated over periods it is expected to be in use through depreciation. A piece of firewall equipment may last for 5 years and have an expected final selling cost of 100$. In this case we would mark it as an asset and have its value decrease over the 5 years to 100$ (typically in some predefined way like decreasing it by more earlier, same amount, etc.).

- What is US GAAP? Why might our internal cyber investments be not fully representable on the balance sheet?

US GAAP is the rules for doing all this financial reporting for public companies.
Since cyber investments are not always fully tangible in terms of return when internally developed, it can't be reported on the balance sheet as an asset.

Given all this information, why might someone spend extra for long term cybersecurity things (such as quality documentation and the internal setup of software that helps complete tasks like SSH, Ansible, and Terraform) despite a slightly worse balance sheet and most recent income statement?

Since the tangibility of these internal investments is uncertain, it cannot be logged on the balance sheet and used over time. However, this does not mean there is no future cost reduction or significant overall improvement in company posture. So often despite the numbers looking slightly worse on these documents, our position may actually be better. In this case we believe funding for our internal setup will improve our capability and future cost beyond the investment made elsewhere.